

BigBear.ai Holdings, Inc.

BBAI NYSE

Hold	\$5.11 ▼ 4.31%	12M Price Target \$5.50	52-Week Range \$3.01 – \$9.39	Market Cap \$2.45B
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BBAI: Reiterate Hold After 17% Weekly Rip, Cramer Caution Flag

WHAT'S CHANGED

- BBAI -4.31% to \$5.11 after a +17% prior-week surge; volume normalized to 49.5M vs. 106M peak on 5/29, suggesting retail momentum cooling after Cramer's "speculate only" comment and GuruFocus profitless-tech warning.
- Options flow remains aggressively bullish (P/C 0.27, unusual June \$2.0/\$2.5 calls at 5-27x OI) — but CFO Ricker sold 10K shares at \$4.33 on 5/22, a notable negative tell into strength.

IMPLICATIONS

The pullback is healthy mean-reversion after a parabolic 8-month-best week, but the divergence between euphoric options positioning and insider distribution at lower prices warrants caution. PTG cargo security deal validates BBAI's vision-AI pipeline into commercial trade/logistics — a meaningful diversification away from pure DoD reliance — but execution proof points (revenue conversion, gross margin) won't surface until Q2 print. With Tech sector +7.06% over 5D, BBAI is riding beta more than fundamentals, meaning any AI-sentiment cooling disproportionately hits names trading on narrative.

VALUATION

At \$2.45B market cap on ~\$195M FY26E revenue, BBAI trades at ~12.5x EV/Sales — rich for a low-double-digit grower with negative EBITDA margins, though discounted vs. PLTR's ~70x. Our \$5.50 PT implies ~8% upside and assumes 10x FY27E sales as commercial wins (PTG, healthcare) drive partial multiple sustainability. Compression risk dominates if defense budget headlines disappoint or AI-narrative rotation accelerates into profitable names.

KEY RISKS

- Customer concentration: outsized exposure to U.S. federal contracts vulnerable to continuing-resolution delays and budget reprioritization.
- Persistent dilution risk: cash burn likely necessitates further equity raises; share count has expanded materially over trailing 18 months.
- Retail-driven volatility: 33% of 52-week range with options speculation skewing price discovery — sharp drawdown risk on sentiment reversal.

RECENT NEWS

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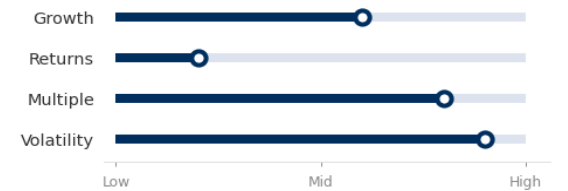
Jim Cramer on BigBear.ai: “Can’t Recommend It, But If You Want to Speculate on It, That’s ...” [Insider Monkey](#) · 2026-06-01 17:54

BBAI Stock Stays Hot After Best Week In 8 Months: What’s Drawing Investor Attention? [Stocktwits](#) · 2026-06-01 02:20

Key Data

Price (USD)	\$5.11
12M Price Target	\$5.50
Upside / (Downside)	+7.6%
Market Cap	\$2.45B
FY2026E Revenue	\$195M
FY2027E Revenue	\$245M
FY2026E EPS	(\$0.42)
FY2027E EPS	(\$0.28)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$6.25	\$5.25	\$4.10
6 Months	\$7.50	\$5.75	\$3.50
1 Year	\$9.00	\$5.50	\$3.00
2 Years	\$12.00	\$7.00	\$2.50
5 Years	\$20.00	\$10.00	\$2.00
10 Years	\$35.00	\$15.00	\$1.50

SECTOR INTELLIGENCE

HOT SECTORS: Technology, Utilities

COLD SECTORS: Real Estate, Industrials (flat 5D)

ROTATION WATCH: Tech leadership (+7.06% 5D) reflects renewed AI capex enthusiasm, but Utilities' +1.86% suggests defensive rotation undercurrent — bifurcated tape favors profitable mega-caps over speculative small-cap AI.

BYPRODUCT PLAY: Edge-AI inference, computer-vision logistics, and defense-tech primes (KTOS, AVAV) capture the same trade-security and autonomy themes underpinning BBAI's PTG deal with cleaner balance sheets.

OUTPERFORMERS & PEER CONTEXT

- PLTR (Palantir): commercial revenue growth >50% YoY with GAAP profitability — the template BBAI is chased against but has not earned.
- AVAV (AeroVironment): defense-tech with positive FCF and tangible product backlog, outperforming pure-software AI peers.

BBAI CONTEXT: BBAI is lagging quality defense-AI peers on fundamentals but leading on speculative beta — relative performance is sentiment-driven, not earnings-driven. A flight-to-quality rotation within AI/defense would penalize BBAI first.

INVESTMENT STRATEGY

4/10 Conviction Score

Position Size: 1-2% of portfolio (speculative sleeve)

Entry Points: \$3.75-4.25 on pullback to 50DMA

Time Horizon: 12-18 months

Thesis Invalidation: Loss of major DoD/DHS contract or quarterly revenue miss >15%

Hedging: Long-dated OTM puts or pair against PLTR/AI peers at richer multiples